

undertaking since the investment cost will be recovered over numerous investors. Funds incur the entire development cost themselves.

- *Research Requirements.* Need to continuously perform their own research to determine what works well and under what types of market conditions.
- *Locked-Into Existing Systems.* Difficult and time consuming to rewrite code and redefine algorithms rules for all the potential market conditions and whenever there is a structural change in the market or to a trading venue. However, many traders who utilize DMA also have the option of utilizing broker suites of algorithms (for a higher commission rate). The main exception in this case is the high frequency traders.
- *Monitoring.* Need to continuously monitor market conditions, order book, prices, etc., which could be extremely data intensive.